fully rather than fall prey to the vortex, like Abhimanyu in the Mahabharata. A financial advisor is vital for managing your concerns and guiding your behaviour as an investor. They also help align your financial goals with the right mix of MF investments and help you achieve them.

ROLE OF AN ADVISOR

The advisor is like a driving instructor who helps you get a feel of driving on the road until you can drive on your own. A financial advisor can play an important role at any stage of your investment journey. A good investor helps you avoid emotional investing habits. They have the knowledge and experience to help you build diversified portfolios that can thrive in a variety of market environments—and perhaps help you sleep better at night. Take, for instance, the many investors who entered the market in 2024 because the stock market was rising. Their investments have either dipped in value or haven't delivered the gains they expected.

Their experience with investing through mutual funds may impact their future behaviour and decisions. It is natural for them to exit investments altogether or avoid investing in mutual funds in the future. Both the decisions aren't good for their financial future. Moreover, mutual fund performance involves a lot of data, charts and economic indicators. Much of this information needs context to understand your investments' performance. Fear and greed are two powerful, opposing emotions that creep in whenever markets swing toward the extremes. Understanding how these emotions work is essential to make informed, consistent investment decisions.

Financial markets have become increasingly complex, requiring stronger investment strategies to protect long-term financial health. The prerequisites of a financial advisor are also evolving. Advisors must be qualified and hold the necessary regulatory credentials to offer advice. Advisors also need clear legal and ethical guidance. They must be trustworthy and have no conflicts of interest when advising you. Successful, seasoned advisors have a clear framework for offering their services, which includes a risk tolerance assessment before they proceed. They can proactively adjust your portfolio to match your financial needs.

At the same time, they can help you build good financial habits, such as increasing your savings, investing toward different financial goals, and building financial discipline. Financial advisors are also fast emerging as the go-to people to evaluate decisions that may have long-term financial implications. For instance, many such investors often discuss mundane issues, such as purchasing a car, or even make travel plans, with their financial advisor. These acts don't mean you have lost control of your decisions; they're simply a way to get an opinion from an advisor you trust will act in your best interests.

A good advisor can also help you see your financial life beyond the numbers. You may develop positive habits such as contributing for the betterment of society. You may share your financial journey to encourage your sibling or a friend to get their act together. You will be better positioned to handle financial situations such as volatile stock markets, swings in the value of your investments, and the implications of regulatory and tax changes on your finances.

Financial advisors also offer specialised services, such as retirement planning or estate advice. As your financial affairs grow, the advisor's role will not just be confined to picking the best MF schemes or forecasting future economic and market conditions. While these are important, they will also act as a buffer between you and your investments, helping remove emotion from your decisions. Emotions about money affect decisions. Your financial future is beyond savings and investments; it is about financial security, stability and achieving the financial goal you are investing for. With so much on the line, it is highly unlikely that you can manage it all by yourself, especially when other aspects of your life are equally important.

Very few individuals can consistently make rational investment decisions over a lifetime. The best advisors work with you to create strategic, well-diversified and long-term investment plans tailored to your risk tolerance and financial goals. Yes, you may end up paying charges for the advice, but for optimal outcomes, you have to pay a fee. At the same time, an advisor's assistance will not necessarily remove all risk from investing in securities markets—nothing will. But a strong advisor can protect against emotions, myopia and a fixation on short-term results. ■

—Narayan Krishnamurthy

EMOTIONAL DECISIONS ADVISORS CAN HELP WITH

- Avoidance of MFs after a market crash
- Stopping SIPs during market corrections or downturns
- Redeeming investments too early
- Choosing low-return products even for long-term goals
- Constantly shifting from one fund to another based on short-term performance
- Investing after markets rise and exiting when markets fall
- Investing without much purpose or clear goals